BEFORE THE
STATE OF NEW YORK
PUBLIC SERVICE COMMISSION

Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of Consolidated Edison Company of New York, Inc. for Electric and Gas Service.

Cases 25-E-0072, 25-G-0073

June 24, 2025

Rebuttal Testimony of:

Accounting Panel

Joseph Miller
4 Irving Place
New York, New York, 10003

Wenqi Wang
4 Irving Place
New York, New York, 10003

Kelly McLaughlin-Martini
4 Irving Place
New York, New York, 10003

Anthony Barretta
4 Irving Place
New York, New York, 10003

CONSOLIDATED EDISON COMPANY OF NEW YORK, INC.

ACCOUNTING PANEL
REBUTTAL TESTIMONY

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CONSOLIDATED EDISON COMPANY OF NEW YORK, INC.

ACCOUNTING PANEL
REBUTTAL TESTIMONY

I. PURPOSE OF TESTIMONY

Q. Please state your names.

A. Joseph Miller, Kelly McLaughlin-Martini, Wenqi Wang and Anthony Barretta.

Q. Have you previously submitted testimony in this proceeding?

A. Yes. We submitted testimony as the Accounting Panel ("Panel") as part of the Company's January 2025 filing and the Company's April 2025 Update filing.

Q. What is the purpose of the Panel's rebuttal testimony?

A. Our rebuttal testimony addresses the following areas:

First, our testimony rebuts certain adjustments to the revenue requirement proposed by the Staff Accounting Panel and intervenors. The Company also provides context for Staff's overall revenue requirement recommendations.

Second, we address Staff and intervenors' arguments on the Company's proposed deferral accounting and reconciliation mechanisms. Third, our testimony addresses various policy arguments related to the Company's revenue requirement and related issues.

To the extent that an issue is raised by Staff or intervenors but not addressed specifically by this Panel, the positions stated therein should not be viewed or considered to have been accepted by the Company.

Q. Do you have any exhibits that you will reference in your rebuttal testimony?

A. Yes, we are introducing Exhibit ___ (AP-8), which contains discovery responses that we refer to in our testimony.

Q. Were these exhibits prepared under the Panel's supervision and direction?

A. Yes.

Q. Is the Company submitting a known cost change relative to its April Update filing?

A. Yes, as discussed by Company Witness Merritt, the Company has received its New York City final property tax assessments for 2025/26. The Company anticipates receiving additional information on the New York City tax rates for 2025/26 in the upcoming weeks, although they may not be final until October. In addition, as permitted by the Commission's longstanding *Statement of Policy on Test Periods in Major Rate Proceedings* (issued Nov. 23, 1977) ("*Policy on Test Periods*"), the Company intends to revise its revenue requirement for "known changes in cost rates" as late as the Company's initial brief on exceptions (*i.e.*, the Company would include this proposed revenue requirement as an appendix to that brief).

Although the Company does not currently anticipate revisions for changes in estimate or wholesale revisions because of changed circumstances, it reserves the right to propose such revisions should they become necessary in accordance with the *Policy on Test Periods*.

II. REVENUE REQUIREMENT

Q. Did Staff or intervenors submit proposed revenue requirements for the Rate Year?

A. Staff is the only party that submitted proposed revenue requirements. Staff's Accounting Panel presented adjustments to Other Operating Revenue, Operations and & Maintenance ("O&M") expenses, Taxes, Rate Base, and Amortization of Regulatory Deferrals. The Company's responds to the various adjustments below.

Q. What were Staff's proposed revenue requirements?

A. Staff's direct testimony proposes an electric revenue requirement that is $1.289 billion less than the amount calculated by the Company and a gas revenue requirement that is $394.505 million less than the amount calculated by the Company in its April Update filing.

Q. Has Staff updated their proposed electric and gas revenue requirements?

A. Yes, in their response to Company IR 7-83 (Exhibit__(AP-8)), Staff increased their proposed electric rate increase by $99.425 million from $319.204 million to $418.629 million and lowered their proposed gas rate decrease by $36.413 million from $45.463 million to $9.050 million.

A. COST OF CAPITAL AND SALES REVENUES

Q Does the Company agree with Staff's adjustments to its Rate Year cost of capital forecasts and capital structure?

A. No, for the reasons discussed in the Rebuttal Testimonies of Company Witnesses Saegusa and Nowak.

Q. Does the Company agree with Staff's adjustments to its Rate Year sales and volume forecasts?

A. No, for the reasons discussed in the Rebuttal Testimonies of the Company's Electric and Gas Forecasting Panels.

B. OTHER OPERATING REVENUES

1. Late Payment Revenues

Q. What is Staff's adjustment to the Rate Year late payment revenues forecast?

A. Staff calculated the ratio of late payment charges to average arrears balances for the twelve months ended March 31, 2025, and then applied this ratio to their projected Rate Year average arrears balance. As discussed below in the Reconciliations and Deferrals section, we disagree with Staff's adjustment, because there is no evidence that their methodology is a good indicator of the Rate Year late payment charges. Staff is using a period with particularly elevated LPCs that we do not expect to be indicative of the Rate Year because the Company is implementing an aggressive arrears management program that drives arrears and LPCs down. We believe that neither the Company's forecast nor Staff's forecast is reasonably representative because the approaches do not (and cannot) reflect the likely impact of the Company's elevated customer arrears balances on Rate Year late payment fee revenues. As such, a full reconciliation

for this item is necessary regardless of the underlying forecast used to develop rates.

2. Field Collection Revenues (Gas)

Q. Does the Company agree with Staff's adjustment to the Rate Year field collection revenues forecast?

A. Yes, the Company accepts Staff's adjustment on field collection to set the forecast at the Historic Test Year level.

3. Excess Distribution Facilities Revenues (Electric)

Q. Does the Company agree with Staff's adjustment to the Rate Year excess distribution facilities revenues forecast?

A. Yes, based on updated information during the linking period.

4. NYPA Variable & Maintenance Revenues (Gas)

Q. Does the Company agree with Staff's adjustment to the Rate Year NYPA Variable Maintenance revenues forecast?

A. Yes, based on updated information during the linking period.

C. O&M

1. Administrative & General (A&G) Capitalized Cost

Q. Does the Company agree with Staff's adjustments to the Rate Year A&G capitalized expense?

A. No. The Company does not agree with Staff's recommended approach to increase the Rate Year forecast of A&G capitalized costs. Staff applied a 15.2% annual growth rate over the 27-month period covering the linking period and Rate Year, resulting in a compounded increase of approximately 37.9%. This growth rate was derived from a single year-over-year increase observed in the 12-month period ended September 30, 2024. The general inflation factors should be used to increase these capitalized costs instead of using a single year of atypical growth.

Q. Does the Company agree with Staff's A&G capitalized cost year-over-year growth analysis?

A. No. The Company does not agree with Staff's methodology. The Company's internal budgeting and reporting cycle aligns with the calendar year, and therefore, the appropriate basis for evaluating year-over-year changes in A&G capitalized costs is the 12-month period ending December 31. Based on this cycle, the Company's A&G capitalized costs remained flat from 2023 to 2024. These demonstrate that the 15.2% growth rate used by Staff is not representative of a consistent or sustained trend.

2. Advanced Metering Infrastructure ("AMI")

Q. Does the Company agree with Staff's adjustment to the Rate Year AMI expenses?

A. Yes. The Company agrees with Staff's normalization as AMI is fully implemented.

3. Bargaining Unit Contract Costs

Q. What is Staff's adjustment to the Rate Year Bargaining Unit Contract expenses?

A. Staff removes this item completely, arguing that these expenses will not be incurred in the Rate Year.

Q. Does the Panel agree with Staff's adjustment?

A. No. Bargaining unit contract negotiations are a necessary part of managing a union workforce and so the costs incurred are necessary business costs. The Company has a regular cycle of bargaining unit negotiations, with the largest of the negotiations occurring every four years. The Company's proposal is to recover a quarter of the costs each year over four years. In contrast, Staff's approach is unreasonable as it would result in no recovery for a known and recurring cost in certain rate cases and full recovery in others, depending on the timing of the negotiations.

4. Company Labor

Q. What are Staff's adjustments to Rate Year Company Labor expenses?

A. Staff recommends multiple adjustments to the Company's Rate Year labor expense forecast that collectively reduce the Company's labor costs by $195.2 million across electric and gas operations.

The adjustments include: (1) elimination of 1,282 incremental FTEs ($59.7 million reduction); (2) timing adjustments related to 8 FTEs ($0.8 million reduction); (3) wage progression removal ($5.3 million reduction); (4) additional

productivity adjustment due to incremental FTEs ($18.0 million reduction); (5) additional productivity adjustment due to capital investments ($8.0 million reduction); (6) slippage adjustment of 33% ($18.2 million reduction); (7) non-executive incentive compensation elimination ($65.7 million reduction); (8) Energy Efficiency labor recategorization from base rates to surcharge ($19.5 million reduction); and (9) Customer Analytics reclassification (no net impact).

Q. Does the Panel agree with Staff's adjustments regarding incremental FTEs?

A. No. As addressed in rebuttal by EIOP, GIOP and the IT, Shared Services and Customer Operations Panels, the Company's incremental FTE requests are based an analysis of operational needs, regulatory requirements, and system demands that are essential for maintaining safe and reliable service. Staff's testimony recommending reductions do not adequately address these points.

Q. Does the Panel agree with Staff's adjustments regarding wage progression?

A. No. Staff mistakenly views the semi-annual wage progression for union workers as a "double count" of what is in the Test Year. However, the wage progression plans are governed by the collective bargaining agreements between the Company and its unions. These plans provide increases twice a year for union employees whose pay rates are under the maximum for his or her job title. The Company has an obligation to provide the progression increase under the term of the collective bargaining agreements, as long as the employees meet the eligibility criteria.

Moreover, contrary to Staff's assertions, not all employees that have left are retirees or people at the top of their pay grades. Con Edison, just like most employers, does experience significant turn over with its newer employees, either because they are not performing the work to the Company's satisfaction or because the employees relocate or seek other opportunities. Assuming that the savings from the employees who retire and employees who leave the Company would offset the cost of progression increases is not accurate. In addition, when modeling labor escalation for union employees, the Company did not take into account the effect of wage increases due to promotions or the wage acceleration provision of the collective bargaining agreement. The wage acceleration provision articulates that employees working in a top union title will be brought to the top of the pay range of that title upon performing satisfactorily in their role for an extended period of time. In simply considering the effect of employee retirements, Staff fails to acknowledge that when an employee retires, there is often a pipeline of employees who are concurrently developing new skills and progressing in their careers to ultimately replace that employee and that a retired employee is not merely replaced with a new hire at a fractional pay rate.

Q. Does this Panel agree with Staff's productivity adjustments?

A. No. Staff recommends two separate productivity adjustments totaling $26.0 million that are unsupported by the Company's operational experience. The Company already applies a productivity adjustment that accounts for incremental

productivity that may occur in the Rate Year. Staff argues that another 1% is appropriate because the Company is proposing incremental FTEs, who will add efficiency to existing operations. This argument ignores that fact that the incremental FTEs are being hired to do incremental work, for instance the Customer Service field collectors who were hired in the linking period are enabling the Company to expand its arrears reduction efforts. In addition, the same 1% productivity being applied to existing labor costs and applied to the incremental FTEs. Staff also argues that the Company's capital improvements will add efficiency to existing operations and a further 1% productivity adjustment is appropriate. However, Staff's position is not supported by the record in this case. The intent of the Company's capital investments is not primarily efficiency, but to maintain and build resilience in its electric and gas systems, integrate clean energy, enhance cybersecurity and other operational/customer needs. The Company acknowledges there may be attendant efficiency gains for a subset of the capital projects, but those are included in the 1% productivity adjustments already proposed by the Company.

Q. Does this Panel agree with Staff's slippage adjustment?

A. No. Staff's 33% slippage adjustment, which reduces labor costs by $18.2 million, is based on a flawed analysis of the Company's hiring practices. Staff's adjustment is based on its analysis of information provided in DPS-469 (provided in Staff's Exhibit ___ (SAP-3)). Staff used the time between posting and hiring to

develop a 120-day average "slippage." However, the Company's response includes an explanatory note that the Company's practice is to keep job postings for high volume positions, such as General Utility Workers and Customer Service Representatives, open for an extended period of time. By not excluding this, Staff's average is significantly inflated. More importantly, however, Staff's testimony assumes the Company does not post for a position in advance of its target start date. In fact, the Company's workplans account for the lag between posting for a position and hiring for that position, negating the need for the slippage adjustment.

Q. Does this Panel agree with Staff's incentive compensation adjustment?

A. No, for the reasons discussed in Rebuttal of the Company's Compensation and Benefits Panel, the Company finds this adjustment to be particularly concerning.

Q. Does this Panel agree with Staff's recategorizations of EE labor and the reclassification of Customer Analytics costs?

A. Yes.

Q. Does the Company disagree with any other portion of Staff's labor calculations?

A. Yes, we note that Staff's revenue requirement included a labor escalation error that Staff corrected in its response to Company IR-34, Part a (Exhibit__(AP-8)).

5. Company Labor Fringe Benefit Adjustment

Q. What is Staff's adjustment to Rate Year Company Labor Fringe Benefit expenses?

A. Staff makes three adjustments to the Company's Fringe Benefit Adjustment. First, Staff recommends updating the fringe benefit rate, resulting in an increase to electric Fringe Benefit expense of $0.034 million and an increase to gas Fringe Benefit expense of $0.006 million. Second, Staff recommends a tracking adjustment that reduces the Company's Rate Year Fringe Benefit expense forecast by $25.151 million for electric and $5.308 million for gas. Third, Staff made an adjustment related to the reclassification of Energy Efficiency from base rates to surcharge for $2.712 million in Electric and $0.479 million in Gas.

Q. Does the Panel agree with Staff's adjustments?

A. The Company agrees with Staff's update of the fringe benefit rate and the reclassification of Energy Efficiency from base rates to surcharge. The Company has concerns with how Staff has implemented its tracking adjustment.

First, while the Company agrees that fringe benefit tracking adjustments are necessary when labor adjustments are made, the Company generally disagrees with the underlying labor adjustments proposed by Staff, as discussed in this rebuttal and that of various other Company panels. Second, the Company disagrees with applying this tracking adjustment to all labor expense, which includes MVP. Fringe benefits are tied to employee headcount, but do not affect the MVP component of labor expense.

The Company objects to the third adjustment. A reduction in this expense associated with removing Energy Efficiency expense from base rates was

erroneously double counted. Staff corrected for this error in its response to Company IR 4-34 (Exhibit__(AP-8)).

6. Corporate & Shared Services

Q. Please describe Staff's adjustments to Corporate and Shared Services Benefit expenses.

A. First, Staff made a correcting adjustment based on a normalization error that was inadvertently made by the Company, which increased the revenue requirement by $27.160 million for electric and $5.583 million for gas. The Company has accepted this adjustment.

Q. Please describe the second adjustment.

A. The second adjustment was made by the Staff's Shared Services Panel to remove costs associated with Supply Chain/Third-Party Risk Management program.

Q. Does the Company agree with this adjustment?

A. The Company disagrees with this adjustment as discussed in the rebuttal testimony of the Company's Shared Services panel.

7. Customer Energy Solutions

Q. Is this Panel addressing Staff's adjustments to its Customer Energy Solutions expenses?

A. No, this is addressed in the Rebuttal Testimonies of the Company's Customer Energy Solutions Panel and Company's IT Panel.

8. Employee Welfare Expense

Q. What are Staff's adjustments to Rate Year Employee Welfare expenses?

A. Staff recommends two adjustments to the Company's Rate Year Employee Welfare expenses. First, Staff (Mr. Gadomski) recommends adjusting the Company's Rate Year forecast of hospital insurance costs to reflect general inflation, resulting in a decrease of $6.601 million for electric and $1.971 million for gas. Second, Staff recommends removing Employee Welfare expense associated with the Company's Customer Clean Energy Program, reducing expenses by $0.751 million for electric and $0.136 million for gas.

Q. Does the Panel agree with Staff's first adjustment?

A. No, the Company disagrees with applying general inflation as a projection for hospital and medical insurance.

Q. Please summarize Mr. Gadomski's position regarding the forecast of employee health insurance expenses.

A. Mr. Gadomski describes the Commission's practice to escalate health care costs by the general inflation rate using the GDP-PI inflation index. He considers the Company's proposal to escalate some costs by higher health care plan-specific inflation percentages unreasonable and recommends application of the GDP-PI inflation factor to escalate the Company's health care costs.

Q. Do you agree with Mr. Gadomski's position regarding the forecast of employee health insurance expenses?

A. No. The health care market is unique and does not follow inflation trends found in most spending segments of the economy. The health care market includes consumers and producers and large segments of payers (*i.e.*, private health insurance in all forms, as well as states and federal government) that are separated from the consumers. The spending pattern for each of these sub-segments is unlike the spending patterns characterizing the other economic segments to which the GDP-PI inflation factor is applied. For example, the need for health care is random and unpredictable for most events, and the outcome of health care is sometimes uncertain. Although health care increases are included in the GDP escalator, health care spending comprises less than 20 percent of the GDP. As a result, the larger increases attributable to health care spending are masked by spending associated with the other GDP items.

Q. Does the Panel agree with Staff's second adjustment?

A. The Company agrees with removing Employee Welfare expense associated with the Company's Customer Clean Energy Program (which is moving to surcharge), but disagrees with Staff's methodology. Staff's basis for the adjustment is the rate in the Company's response to IR DPS 1044 (Exhibit__(AP-8)). However, this response was meant to be illustrative of approach and not a precise representation of the necessary adjustment. By the Company's calculation, removing Employee Welfare expense associated with the Customer Clean Energy

Program, would reduce expenses by $0.446 million for electric and $0.071 million for gas.

9. Environmental Affairs (Electric)

Q. Does the Company agree with Staff's adjustments to its Environmental Affairs expenses?

A. No, as addressed in the Rebuttal Testimony of the Company's IT Panel and the Company's Shared Service Panel.

10. ERRP Major Maintenance (Electric

Q. What is Staff's adjustment to Rate Year ERRP expenses?

A. Staff is proposing the deferred credit balance be returned to customers in the Rate Year, as opposed to mitigating costs over a 3-year period.

Q. Does the Panel agree with Staff's adjustment?

A. No, the Company believes that spreading the credit balance over 3 years will stabilize the impact of ERRP's major maintenance cycle.

11. Facilities & Field Services

Q. Does the Company agree with Staff's adjustments to Rate Year Facilities & Field Services expenses?

A. No, for the reasons discussed in the Rebuttal Testimony of the Company's Shared Services Panel.

12. Information Technology ("IT") Expenses

Q. Does the Company agree with Staff's adjustments to Rate Year IT expenses?

A. No, for the reasons discussed in the Rebuttal Testimony of the Company's IT Panel.

13. Injuries and Damages/Workers Compensation

Q. What are Staff's adjustments to Injury and Damage/Workers Compensation?

A. Staff recommends removing Injury and Damages/Worker Compensation expense associated with the Company's Customer Clean Energy Program, reducing expenses by $0.238 million for electric and $0.042 million for gas.

Q. Does the Company agree with Staff's adjustments associated with the Company's Customer Clean Energy Program as it relates to Injuries and Damages/ Workers Compensation expenses?

A. The Company agrees with removing the portion of expense associated with the Company's Customer Clean Energy Program (which is moving to surcharge) but disagrees with Staff's methodology. Staff's basis for the adjustment is the rate in Company's response to IR DPS 1044 (Exhibit__(AP-8)). However, this response was meant to be illustrative of approach and not a precise representation of the necessary adjustment. By the Company's calculation, removing Injury and Damage/Worker's Compensation expense associated with the Customer Clean Energy Program would reduce expenses by $0.213 million for electric and $0.034 million for gas.

14. Operations Central Engineering (Electric)

Q. Does the Company agree with Staff's adjustments to its Operations Central Engineering expenses?

A. No, as addressed in the Rebuttal Testimony of the Company's IT Panel.

15. Operations – Construction Management (Electric)

Q. Does the Company agree with Staff's adjustments to its Operations Construction Management expenses?

A. No, as addressed in the Rebuttal Testimony of the Company's IT Panel.

16. Operations – Gas Operations (Gas)

Q. Does the Company agree with Staff's adjustments to its Operations Gas Operations expenses?

A. No, as addressed in the Rebuttal Testimony of the Company's IT Panel.

17. Operations – Electric Operations (Electric)

Q. Does the Company agree with Staff's adjustments to Rate Year Electric Operations expenses?

A. No, for the reasons discussed in the Rebuttal Testimony of the Company's Electric Infrastructure and Operations Panel and IT Panel.

18. Operations – Customer Operations

Q. Does the Company agree with Staff's adjustments to Rate Year Customer Operations expenses?

A. The Company rejects the adjustments, as discussed in the Rebuttal Testimony of the Company's Customer Operations Panel and IT Panel

19. Operations - Interference Expenses

Q. Does the Company agree with Staff's adjustments to Rate Year Interference expenses?

A. No, for the reasons discussed in the Rebuttal Testimony of the Company's Municipal Infrastructure Support Panel.

20. Operations – Production (Electric)

Q. Does the Company agree with Staff's adjustments to Rate Year Production expenses?

A. No, for the reasons discussed in the Rebuttal Testimony of the Company's Electric Infrastructure and Operations Panel.

21. Operations – Substation Operations (Electric)

Q. Does the Company agree with Staff's adjustments to Rate Year Substation Operations expenses?

A. No, for the reasons discussed in the Rebuttal Testimony of the Company's Electric Infrastructure and Operations Panel and IT Panel.

22. Operations – System & Transmission Operations (STO) (Electric)

Q. Does the Company agree with Staff's adjustments to Rate Year System & Transmission Operations (STO) expenses?

A. No, for the reasons discussed in the Rebuttal Testimony of the Company's Electric Infrastructure and Operations Panel and IT Panel.

23. Other Compensation (Long Term Equity)

Q. The Staff Incentive Compensation Panel recommends a complete disallowance of funding for the Company's incentive-based compensation for non-officer management employees. Do you agree with this adjustment?

A. No. The Company strongly disagrees with Staff's position, as discussed in Rebuttal testimony of Company's Compensation and Benefits Panel.

24. Pensions and Other Post-Employment Benefits ("OPEBs")

Q. Staff recommends removing Pension and OPEB expense associated with the Company's Customer Clean Energy Program reducing expenses by $1.381 million for electric and $0.244 million for gas. Does the Company agree with this adjustment?

A. The Company agrees with removing the expense associated with the Company's Customer Clean Energy Program (which is moving to surcharge) but disagrees with Staff's methodology. Staff's basis for the adjustment is the rate in the Company's response to IR DPS 1044 (Exhibit__(AP-8)). However, this response

was meant to be illustrative of approach and not a precise representation of the necessary adjustment. By the Company's calculation, removing Pension and OPEB associated with the Customer Clean Energy Program would reduce expenses by $1.433 million for electric and $0.229 million for gas.

25. Regulatory Commission Expense – General and R&D

Q. Can you please describe the adjustment Staff made for Regulatory Commission Expense – General and R&D.

A. Staff applied an adjustment based on a 3-year average ratio of the Company's refunds based on Final Statements of Assessment for the 2021/2022, 2022/2023, and 2023/2024 State Fiscal years resulting in total reduction to the Company's forecast of $6.653 million for electric and $1.875 million for gas.

Q. Does the Panel agree with Staff's adjustment?

A. No, the Company disagrees with Staff's proposal of using an average historic level of refunds as an indicator of future outcome. The PSC assessment fluctuates based on budget data which is highly unpredictable and could result in either a refund or an additional assessment to the Company. Therefore, the Company does not believe it is possible to predict the refund amount, or even whether these will be refunds or additional assessments.

26. Storm Reserve Allowance (Electric)

Q. What is Staff's adjustment to Rate Year Storm Reserve Allowance?

A. Staff has proposed a Rate Year forecast of $35.247M, or a decrease of $16.275M. Staff proposal is based on historical three-year average of major storm costs including qualified prestaging and mobilization for forecasted major storms that did not materialize.

Q. Does the Company accept Staff adjustment to the Rate Year Storm Reserve Allowance?

A. No. Given the highly variable nature of storms and storm costs, using a three-year average is too narrow a period on which to adequately base the reserve. This variability is highlighted by the fact that the historical five-year average of major storm costs, including qualified prestaging and mobilization, is $73.181 million, more than double Staff's recommendation based on a three-year average. Where costs are this erratic, more data points are necessary to appropriately forecast a reserve. The Company is proposing the storm allowance remain at current rate levels plus escalation. The Panel notes that the historical four-year average of major storms of $53.122 million is comparable to the level proposed by the Company.

27. Uncollectible Reserve - Customer

Q. What is Staff's adjustment to the Rate Year customer uncollectible reserve expense forecast?

A. Staff calculated the ratio of write-offs to average arrears balances for the twelve months ended March 31, 2025, and then applied this ratio to their projected Rate

Year average arrears balance. As discussed below in the Reconciliations and Deferrals section, we disagree with Staff's adjustment, because there is no evidence that their methodology is a good indicator of the Rate Year uncollectible expense. Staff is basing its ratio off a period that we do not expect is indicative of the Rate Year as the Company has recently implemented an aggressive arrears management program. We believe that neither the Company's forecast nor Staff's forecast is reasonably representative because the approaches do not (and cannot) reflect the likely impact of the Company's elevated customer arrears balances on Rate Year uncollectibles. As such, a full reconciliation for this item is necessary regardless of the underlying forecast used to develop rates.

28. Inflation

Q. What is Staff's adjustment to the inflation rate used for Rate Year forecasts?

A. Staff Witness Daniel Gadomski recommends an inflation rate of 6.619 percent for the linking period through the Rate Year based on more recent Blue Chip Economic Indicators than were available to the Company when it prepared its April Update.

Q. Does the Panel agree with Staff's adjustment?

A. Yes, the Company agrees with Staff's adjustment.

D. DEPRECIATION & TAXES

1. Depreciation

Q. Please discuss the Company's position as it relates to Staff's proposed adjustments to depreciation.

A. The Rebuttal Testimony of the Company's Depreciation Panel contains the Company's response to Staff's proposed adjustments.

2. Property Taxes

Q. Does the Company agree with Staff's adjustment to Rate Year Property Tax forecasts?

A. No, Staff's position on property taxes forecasts that the Company's expense for 2026 is essentially the same level of expense as what the Company expects to pay in 2025. Given the fact we will have increased assessed values due to plant additions alone, even if there were no increase to the property tax rate, the Company's actual 2026 property tax expense will obviously be higher than 2025. That Staff's forecasting approach results in a practical outcome that is logically unsound highlights the flaw in its approach. Please see additional details on the Company's disagreement with Staff's forecasting approach discussed in the Rebuttal Testimony of Company Witness Merritt.

3. Payroll Taxes

Q. What are Staff's adjustments to the Rate Year Payroll Tax forecasts?

A. Staff is proposing a reduction in payroll taxes commensurate with its reduction in the Company's labor expense and a change in the payroll tax rate.

Q. Does the Panel agree with Staff's adjustments?

A. No. While there is agreement that the payroll tax rate of 15.75% that the Company used should have been reduced by a Federal Unemployment Tax Act credit of 5.4% as discussed in the Company's response to DPS-823 (Exhibit__(AP-8)), there is disagreement on Staff's use of a calculated historical test year rate by service for payroll taxes. The Company believes that using the statutory payroll tax rate is more appropriate for forecasting purposes. The historical effective payroll tax rate is a backward-looking metric that may not reflect future payroll tax obligations. The Company believes that the statutory rate of 10.35% should be applied to forecast incremental payroll expenses.

Q. Has the Company found an additional error in the Rate Year Payroll Tax forecasts?

A. Yes, a reduction in requested payroll tax expense associated with removing Energy Efficiency expense from base rates was erroneously double counted. Staff corrected for this error in its response to Company IR 4-34 (Exhibit__(AP-8)).

4. Revenue Taxes

Q. What is Staff's adjustment to the Rate Year Revenue Tax forecasts?

A. Staff increased overall gas and electric sales revenues and therefore increased the associated revenue taxes.

Q. Does the Panel agree with Staff's adjustment?

A. No, while there is agreement on the revenue tax rate, the Company disagrees with Staff' adjustments to the underlying revenue forecasts.

E. RATE BASE

1. Net Plant & Non-interest Bearing CWIP

Q. What is the Company's position regarding Staff's adjustments on Net plant & Non-interest Bearing CWIP balances included in rate base?

A. The Company contests Staff's adjustments to capital spending and depreciation as discussed in the Company's various rebuttal testimonies.

Q. Does the Company have concerns with the calculation of rate base?

A. Yes, the Company discovered two errors that should be corrected. First is a formula calculation issue in Staff's Non-interest Bearing CWIP balance where the cumulative balances were not being carried forward. Staff corrected this error in its response to Company IR 4-40 (Exhibit__(AP-8)).

The second error pertains to the incorrect timing of transferring certain projects from capital expenditures to plant additions. Staff corrected this error in their response to Company IR 7-89 (Exhibit__(AP-8)).

Q. Is the Accumulated Reserve for Depreciation balance impacted by the incorrect plant additions transfer?

A. Yes, the depreciation was not calculated correctly as result of the Staff's incorrect plant in addition balance. Staff corrected this error in their response to Company IR 7-83 (Exhibit__(AP-8)).

2. Cash Working Capital Allowance, Net Deferrals and Credits from Reconciliations, and Accumulated Deferred Income Taxes.

Q. What are Staff's adjustments to Cash Working Capital Allowance balances, Net Deferrals and Credits balances, and Accumulated Deferred Income Taxes balances included in Rate Base?

A. Staff adjusted the Company's forecasted balances for the Rate Year to account for various recommendations in Staff's direct testimonies.

Q. Does the Panel agree with Staff's adjustments?

A. No. Although the Company agrees tracking adjustments are generally appropriate, the Company disagrees with Staff's underlying changes that gave rise to the tracking adjustments. Please see the O&M, property tax, amortization deferrals and net plant & non-interest bearing CWIP sections of this testimony for a discussion of the underlying adjustments.

Q. Does the Company accept the Staff's recommendation to reduce the Company's RY Net Operating Loss Accumulated Deferred Income Tax balance by $8.492 million for electric and $2.265 million for gas as result of new update?

A. Yes, the Company accepted Staff's adjustment.

3. Amortization of Regulatory Deferrals

Q. Does Staff propose adjustments to Rate Year amortization of regulatory deferrals?

A. Yes. Staff proposed adjustments to the Brooklyn Queens Demand Management Program ("BQDM") deferral, Pension/OPEB deferral, Site Investigation and Remediation ("SIR") deferral, Energy Efficiency New Energy New York ("NENY") deferral, Energy Efficiency Carrying Charge deferral, and the Sales and Use Tax Refund deferral.

Q. Does the Company agree with Staff's proposed adjustments to the BQDM deferral?

A. Yes. The Company agrees with Staff adjustment to the BQDM deferral. This adjustment tracks the Company's response to DPS-755 (Exhibit__(AP-8)).

Q. Does the Company agree with Staff's proposed adjustments to the Pension/OPEB deferral?

A. The Company agrees that Staff's proposed adjustments to the Pension and OPEB deferral are appropriate if made in conjunction with the inclusion of the adjusted deferral balance as an input to the Earnings-Based Capitalization (EBCAP) adjustment. This treatment is consistent with Staff's recommended approach of capitalizing a portion of the Pension and OPEB expense included in the Rate Year O&M forecast.

Q. Does the Company agree with Staff's proposed adjustment to the SIR deferral?

A. No. Staff's adjustments to this item tracks Staff's adjustments to Rate Year spend for SIR, which the Company disagrees with for the reasons in the Rebuttal Testimony of the Company's SIR Panel. Further, the adjustment includes a calculation error. Staff corrected this error in their response to Company IR 7-83 (Exhibit__(AP-8)).

Q. Does the Company agree with Staff's proposed adjustments to the NENY deferral?

A. Yes. The Company agrees with Staff's adjustment to the NENY deferral.

Q. Does the Company agree with Staff's proposed adjustments to the Energy Efficiency Carrying Charge deferral?

A. Yes. The Company agrees with Staff adjustment to the Energy Efficiency Carrying Charge deferral.

Q. Does the Company agree with Staff's proposed adjustments to the Sales and Use Tax deferral?

A. Yes. The Company agrees with Staff adjustment to the Sales and Use Tax deferral.

III. RECONCILIATIONS AND DEFERRALS

A. NEW DEFERRAL OR RECONCILIATION MECHANISMS PROPOSED BY COMPANY

1. Affordable Multifamily Electrification Pilot Deferral (Electric)

Q. Did Staff address the Company's proposed deferral for the Affordable Multifamily Electrification Pilot (the Pilot)?

A. Yes. Staff recommended removal of the Pilot from the rate proceedings. As Staff points out, in the Commission's May 15, 2025, Order Authorizing Non-Low- to Moderate-Income Energy Efficiency and Building Electrification Portfolios for 2026-2030 in Case 18-M-0084 (the "EE/BE Order"), the Commission stated that the Pilot should be part of the generic EE/BE proceedings.

Q. Do you agree with Staff's Recommendation?

A. Yes. However, the Company reserves the right to address other recommendations from Staff and other Intervenors in the generic EE/BE proceeding.

2. Sulfur Hexafluoride (SF6) Standards Deferral (Electric)

Q. Do any parties address the Company's proposal for a deferral related to sulfur hexafluoride standards compliance?

A. Yes. Staff and NYC Witness Chait recommend denying the deferral for incremental compliance costs related to phasing out SF6-containing equipment.

Q. Does the Company agree with these recommendations?

A. No, as explained in the Rebuttal Testimony of the Company's EIOP.

3. New York City Revocable Consent Fees (Electric & Gas)

Q. Do any parties address the Company's proposal for a deferral related NYC revocable consent fees?

A. Yes. Staff's Accounting Panel disagrees with this deferral in the context of a one-year case and notes that the Company may file a deferral request for the consent fees. Additionally, NYC Witness Chait does not support the Company's proposal due to insufficient information concerning the costs.

Q. Does the Company agree with these positions?

A. No, as explained in the Rebuttal Testimony of the Company's EIOP.

4. Wildfire Response Deferral (Electric & Gas)

Q. Do any parties address the Company's proposal for a deferral for wildfire response costs?

A. Yes. Staff and UIU Witness Madsen recommend denial of the proposed Wildfire Response deferral.

Q. Does the Company agree with these recommendations?

A. No, as explained in the Company's EIOP Rebuttal.

5. Corporate Alternative Minimum Tax (CAMT) Reconciliation

Q. Do any parties address the Company's proposal for a CAMT reconciliation?

A. Yes. Staff's Accounting Panel notes its testimony is limited to a one-year case and so supports the CAMT reconciliation only for the Rate Year. Staff notes that to the extent this is a fully litigated case and there are impacts after the Rate Year,

the Company may petition the Commission to seek authority to defer certain extraordinary costs.

Q. Does the Company agree with this position?

A. No. Income tax rates are outside the Company's control and should be fully reconciled in the Rate Year and until base rates are reset.

B. PROPOSED MODIFICATION OF EXISTING MECHANISMS BY COMPANY

1. Electric & Gas Net Plant Reconciliation

Q. Did any parties address the Company's proposed modifications to its electric and gas net plant reconciliations?

A. Yes, Staff, NYC Witness Chait, and UIU Witness Madsen oppose the Company's proposal for full reconciliation of interference costs and electric new business costs. Staff and NYC also oppose the Company's proposals for surcharge recovery of eligible incremental net plant.

Q. Does the Company agree with their positions?

A. The Company does not agree with their positions on the scope of the reconciliations for the reasons in the Rebuttal Testimonies of the Company's MISP and EIOP. This Panel disagrees with Staff's and NYC's arguments against surcharge recovery.

Q. What are Staff and UIU's rationales for opposing surcharge recovery?

A. Staff and NYC Witness Chait opposes surcharge recovery of carrying charges on net plant based on a misreading of GAAP (ASC 980-605-25-4). They also

overlook the fundamental principle of timely recovery for prudently incurred capital costs. These carrying charges represent a real and ongoing cost of capital employed in assets needed for service delivery.

While ASC 980-605-25-4 is often cited in the context of alternative revenue programs, the underlying principle applies more broadly to any regulatory asset that arises from revenue recognition. When the Company accrues carrying charges on net plant, it is recognizing revenue associated with capital investments. To comply with GAAP, the Company must demonstrate that recovery of this revenue is probable and will occur within a reasonable timeframe—typically 24 months. Without a defined recovery mechanism, such as a surcharge, the Company may be precluded from recognizing the revenue, which would result in a mismatch between cost incurrence and revenue recognition.

2. Property Tax Reconciliation

Q. Did any party address the Company's proposal to modify the property tax reconciliation to a full and symmetrical mechanism?

A. Yes, Staff opposes any property tax reconciliation in the context of a one-year case.

Q. Does the Company agree with Staff's position.

A. No, for the reasons explained in the Rebuttal Testimony of Company Witness Merritt.

3. Interference O&M Reconciliation

Q. Do any parties address the Company's proposal to modify the interference O&M reconciliation?

A. Yes, Staff disagrees with the modification.

Q. Does the Company agree with Staff's position?

A. No, for the reasons in the Rebuttal Testimony of the Company's MISP.

4. Energy Efficiency

Q. Do any parties address the Company's proposal to continue the Energy Efficiency reconciliation with a modification for new budgets?

A. Yes, Staff appropriately notes that the Commission addressed this issue in on Order issued May 15, 2025 in Case 18-M-0084, In the Matter of a Comprehensive Energy Efficiency Initiative.

5. Long Term Debt Cost Rate Reconciliation (Fixed-Rate Component)

Q. Do any parties address the Company's proposal for a long-term debt cost rate reconciliation?

A. Yes. Staff Finance Panel recommends denying the Company's proposal for a fixed-rate debt cost reconciliation, asserting it is unnecessary (p. 7, lines 22-24). Additionally, UIU Witness Madsen does not support the proposal, stating debt market volatility in a single rate year is not sufficient to warrant the reconciliation. (p. 56, lines 17-21).

Q. Does the Company agree with these assessments?

A. No, as explained in the Rebuttal Testimony of Witness Saegusa.

6. Legislative, Regulatory, and/or Related Actions Provision

Q. What were the Company's proposed modifications to the legislative, regulatory, and /or related actions provision?

A. The Company has two modifications. First, the Company proposes to clarify the language so that the provision is clearly applicable to changes in capital expenditures and the Company can accrue carrying charges on incremental net plant that stems from any action covered in this provision. Second, the Company proposes surcharge recovery to align with GAAP rules on revenue recognition.

Q. Do any parties address this provision?

A. Yes. Staff testified that it does not support continuation of this provision in the context of a one-year case. NYC Witness Chait and UIU Witness Madsen oppose the Company's proposed changes.

Q. What is NYC Witness Chait's rationale for opposing the change?

A. Witness Chait confusingly argues "cost" means "amount paid or charged for a purchase," but somehow cannot mean an amount paid or charges for a purchase associated with capital because "cost" is not defined to be the revenue requirement impact of net plant.

Q. Do you agree with this interpretation?

A. No. The provision clearly states that it applies to actions that result "in a change in Con Edison's annual electric or gas revenues, costs or expenses not anticipated in the forecasts." In utility regulatory accounting, "costs" often encompass both capital expenditures and operating expenses. In this provision, to be more precise and avoid confusion, the language specified "costs" and "expenses." There is no disagreement that the meaning of "expenses" refers to O&M expenses. The word "costs" is meaningless within the provision if it does not then refer to capital costs.

Q. What is Witness Madsen's rationale for opposing the modifications?

A. Witness Madsen argues that applying the provision to capital expenditures would discourage the Company from seeking out alternative suppliers that are not subject to tariffs "where those suppliers exist."

Q. Do you agree with this position?

A. No. The Company disagrees because this the language addresses a demonstrated financial exposure that cannot be controlled by the Company or accurately forecasted. As detailed in the Company's Accounting Panel Direct Testimony, potential federal tariff policy changes represent substantial cost impacts on utility infrastructure procurement. The Company's analysis demonstrates significant exposure across both direct imports and goods with imported components used in utility operations. Unlike routine capital cost variations, tariff impacts result from federal policy decisions made independently of utility planning cycles and rate

case schedules. The proposed mechanism includes appropriate thresholds to ensure only material impacts trigger recovery while providing timely cost adjustment for policy-driven cost increases. The carrying charge component recognizes that tariff-driven capital cost increases create immediate financial impacts that extend beyond normal regulatory lag periods.

7. Uncollectible Expense / Late Payment Charge Reconciliations

Q. What is Staff's recommendation on the uncollectible expense and late payment charge reconciliations?

A. Staff disagrees with these reconciliations, arguing that they are unnecessary in the context of a one-year rate plan.

Q. Why does Staff believe that they are unnecessary in the context of a one-year rate plan?

A. Staff states "reconciliation mechanisms for these items are not needed in the context of a one-year rate proceeding as the forecasts recommended by Staff represent a reasonable estimate of what will occur" (at 171-172).

Q. How did Staff forecast the Rate Year uncollectible expenses?

A. Staff calculated the ratio of write-offs to average arrears balances for the twelve months ended March 31, 2025, and then applied this ratio to their projected Rate Year average arrears balance.

Q. How did Staff forecast the Rate Year late payment charges?

A. Staff calculated the ratio of late payment charges to average arrears balances for the twelve months ended March 31, 2025, and then applied this ratio to their projected Rate Year average arrears balance.

Q. How did Staff forecast the Rate Year average arrears balance?

A. Staff started with the Company's projected arrears balance at December 31, 2025 and applied an 81% overperformance ratio. Staff calculated this ratio by dividing the Company's latest known actual arrears balance by the Company's forecasted arrears balance for March 2025.

Q. Is Staff's confidence in their forecasts justified?

A. No. The use of the Company's forecasted arrears balance at December 31, 2025 is problematic, and the use of an overperformance ratio exacerbates the problem. As the Company explained in its direct testimony, the Company is unable to predict how quickly arrears levels will decrease or when uncollectible expense levels will increase. Staff is starting with a Company forecast that the Company itself described as untenable. Furthermore, Staff's use of an overperformance ratio exacerbates rather than solves the problem. Staff based their overperformance ratio on one arbitrary month, March 2025, presumably, because it was the most recent month available to them. Staff presented no evidence that an overperformance ratio calculated in one arbitrary month is indicative of future performance. Indeed, there is no evidence that an overperformance ratio calculated based on an average over several years is indicative of future

performance. Furthermore, the overperformance ratio just two months later for May 2025 is 87%. Application of this ratio to the Company's projected arrears balance at December 31, 2025 would increase Staff's projected arrears balance from $1.023 billion to $1.090 billion, their total electric and gas uncollectible forecast from $182 million to $194 million and their total electric and gas late payment charges forecast from $153 million to $163 million. These seven percent increases to uncollectible expenses and late payment charges in just two months demonstrates the fundamental flaw of Staff's methodology and forecast.

Q. Why are the Company and Staff forecasts of arrears balances untenable?

A. These are unchartered waters. The Company is dealing with an arrears balance that increased by approximately 250% from the pre-pandemic baseline and a corresponding 60% increase in customers carrying arrears balances. While, the Company has made strides in reducing arrears and partnering with customers on payment plans, aged arrears remain high and write-off numbers have yet to stabilize. Aged arrears go through a collections process and, if unpaid, eventually result in customer account termination and a conversion of the aged arrears to uncollectible expense. The Company instituted generous deferred payment agreement plans due to the pandemic. This gives customers needed flexibility but also means that customers may pay small amounts against their outstanding balances, which delays terminations for those that ultimately do not pay. As a result, it can be years before arrears translate to uncollectible expenses. The level

of the future reduction depends on many variables, including the Company's arrears reduction efforts, the economic conditions, and customer behaviors. The Company cannot provide a representative uncollectible expense write-off amount or a late payment charge amount when it does not know how customers will catch up on outstanding overdue balances recover from the pandemic and how or when its aged arrears will translate to actual write-offs.

Q. Why are these reconciliations appropriate under a one-year plan?

A. For significant items that cannot be reasonably forecasted, a reconciliation is appropriate regardless of the duration of the rate plan. The Company's proposal for a reconciliation allows customers to pay, and the Company to recover, the actual level of uncollectible expense incurred each Rate Year rather than the amount in an unreliable forecast.

Likewise, the variability in late payment fees is tied closely to the level of the Company's aged arrears and their resolution. The reconciliation would eliminate the risk to customers or the Company from variations in late payment fees.

C. PROPOSALS FOR NEW ACCOUNTING MECHANISMS

Q. Does Staff propose new accounting mechanisms in this case?

A. Yes, Staff proposes a downward-only O&M reconciliation for the Company's customer outreach and education program, a downward-only O&M reconciliation for the Company's CARE program, and that the Company recover a portion of the gas revenue requirement through a revenue adjustment mechanism.

Q. Does the Company agree with a downward-only reconciliation for costs associated with the Company's customer outreach and education program?

A. No, for the reasons discussed in the Rebuttal Testimony of the Company's Customer Operations Panel.

Q. Does the Company agree with a downward-only reconciliation for costs associated with the Company's CARE program?

A. No, for the reasons discussed in the Rebuttal Testimony of the Company's IT Panel.

Q. What is Staff's rate adjustment mechanism proposal?

A. The Staff Accounting Panel recommends recovery of a portion of the gas revenue requirement (not less than $100 million) through a rate adjustment mechanism. This recovery is subject to refund to the extent of expenditures related to investigation and remediation of non-conforming welds.

Q. Does the Company agree with this proposal?

A. No. The proposal is premature and Staff has not sufficiently justified the need for such a mechanism during the pendency of an investigation.

IV. POLICY ISSUES

Q. Staff and several intervenors, including NYC, NYECC, and UIU, testified that the Company's rate filing included an aggressive investment plan that did not consider customer affordability or the Company's ability to execute the plan.

How did the Company address customer affordability and feasibility of executing its workplans in its rate case planning and preparation?

A. Operational panels presented the scope of work and attendant workforce they believe is necessary to meet the goals of maintaining safety, continuing the most reliable service in the nation, and advancing the clean energy transition. They also identified and explained the reasons for proposed projects or programs in their testimonies and/or exhibits. The Company has programs that aim to support low- and moderate-income customers and proposed in this case to increase program resources to expand outreach efforts to enroll more customers in the Energy Affordability Program ("EAP"). Outside of this proceeding, the Company supports DPS Staff's proposal to expand the EAP program to additional customers and increase the budget cap for the EAP and expanded EAP so that more customers can be enrolled and discounts do not need to be reduced to stay within the current budget cap. Moreover, the existing EAP program will take into account rate increases when setting discounts for future rate years.

Q. Broadly speaking, what are the major drivers of the Company's costs?

A. There are several main factors contributing to the Company's costs. First, the Company's costs reflect the cost of doing business in and around New York City. As an example, the Company has continuously invested in a largely underground system in New York City, which is necessary to maintain our nation-leading reliability and deliver our energy safely. An underground system is relatively

more expensive to build/maintain than an overhead system and we have consistently invested in this system to achieve the reliability our customers require in a dense metropolitan, home to vital transportation networks, thousands of high rises, small businesses and critical customers like hospitals and global commercial businesses headquartered in the service territory. More generally, costs in and around New York City are high and labor rates must be competitive for the geographic market as the vast majority of Company employees are required to live in or near the Company's service territory. Lastly, the Company's facilities are heavily taxed in New York City. As this Panel noted in its Direct Testimony, approximately 27% and 14% percent of the Company's proposed increase for electric and gas, respectively, is for property taxes. We collect the property taxes from our customers and pass that on to the City.

Second, in addition to traditional programs and projects undertaken to provide safe and reliable service in a high-cost geographic area, the Company must deliver a grid that is resilient and this requires continuous investment. Indeed, the City of New York and other parties emphasized the importance of reliability for safety and health, particularly in the dense vertical urban environment comprising a large portion of the Company's service territory. The Company is in the midst of upgrading facilities for storms and climate resiliency and planning its operations to account for increased storm response.

Third, New York has ambitious clean energy laws and Con Edison is a partner in the clean energy transition, which requires parallel investments in both traditional infrastructure to maintain safety and reliability as the transition is implemented, and substantial new infrastructure to meet our customers' energy demand. While there are significant costs associated with these factors, the elimination of this work would have consequences to the Company's system, impacting our ability to deliver nation-leading reliability, impeding our energy infrastructure resilience and risking the inability to meet our customers' energy demand, as well as to State clean energy goals. Moreover, there are costs to inaction or pausing of critical work now that may well make the transition more expensive for customers in the long term.

Q. Several intervenors, including CPA, NYECC, and WMC provide information they believe shows Con Edison's delivery rates are notably above the national average. Does the Company have concerns about their characterizations?

A. Yes, the data provided is so generalized it is not useful for a productive, technical comparison. For example, CPA states that Con Edison's delivery rate is more than three times the national average rate, and over 84 times higher than the delivery rate charged by Appalachian Power Co. CPA based its analysis on the U.S. Energy Information Administration's Annual Electric Power Industry Report, using utility revenue per megawatt-hour ($/MWh) for delivery-only industrial customers.

However, the methodology lacks critical context and fails to account for several key factors that significantly influence delivery rates. These can include: (1) Customer Class Definitions: Utilities may define industrial customers differently, leading to inconsistencies in comparative data; (2) Rate Structures: Variations in how utilities design and allocate costs across customer classes can distort direct comparisons; and (3) Regional Cost Drivers: Local economic conditions, infrastructure requirements, and regulatory mandates vary widely and directly impact delivery costs. Additionally, the comparison overlooks the broader economic context. New York State has a higher cost of living than most states, which naturally influences utility operating costs. This economic reality contributes to higher delivery rates but does not imply inefficiency or unfair pricing. Importantly, the Commission is tasked with ensuring that utility services are delivered safely, reliably, and at just and reasonable rates. Con Edison's rates reflect the cost of maintaining a dense and complex infrastructure in one of the most urbanized and economically active regions in the country. These rates are subject to rigorous regulatory oversight and are designed to balance affordability with the need for continued investment in system reliability, resiliency, and modernization.

Q. Does the Company have other comments on the bill impact comparisons cited by intervenors?

A. Yes, in several instances, intervenors mistake the scope of costs intended to cover the Company's operations. It is important to note that the Company's charges include significant pass-through costs such as embedded taxes (e.g., property taxes), costs related to clean energy activities conducted by the New York State Energy Research and Development Authority, and other related expenses outside of the Company's control.

Q. Does this conclude your rebuttal testimony?

A. Yes.